

Weighing Stakeholder Claims

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WHAT'S COVERED

In this lesson, you will learn how to identify and address stakeholder complaints and concerns. Specifically, this lesson will cover:

1. Stakeholder Claims

As you have seen throughout these tutorials, the law often only captures the minimal ethical obligations firms owe their stakeholders. A particular **stakeholder claim**—that is, any given stakeholder's interest in a business decision—may therefore challenge the ethical stance even of an organization that complies with the law. For example, some community members may oppose the opening of a “big box” chain store. A “big box” store is known for offering a large number of products across a wide range of areas in order to offer one-stop shopping while using volume to offer lower prices and gain market share. A “mom and pop,” or “mainstreet” business, however, is often much smaller, with a narrow focus, a limited range of products, and given the smaller volume, sometimes higher prices, even if the service is outstanding. Small stores are often built around individual areas, like sports, or craft. Even a local grocery store may not be able to compete when a “big box” store moves into town offering all their needs at one location, with lower prices. It can easily be perceived as threatening the livelihoods of small business owners in the area for good reason, while shareholders support it as an additional opportunity for profit, employees see opportunities for advancement, and some consumers within the area look forward to more purchasing options, particularly if they can spend less money on groceries and goods. Conflicts like this illustrate how complicated prioritizing stakeholder claims can be, particularly when there are ethical pros and cons on both sides. A “big box” store may offer a wider selection of goods at lower prices in volume, for example, and create jobs for teens and part-time workers, but the impact on local stores is undeniable.



HINT

Not all stakeholder claims, or interests, are demands made directly of the company. Stakeholder claims include people (or entities) affected by the company's decisions, even those that are unaware of the decision or unable to influence the decision.

A related theme to recall is that even though all stakeholder claims are important for a company to acknowledge, not all claims are of equal importance. Most business leaders appreciate that a company's key stakeholders are essential to its efficient operation and growth, and that its overall mission, goals, and limited resources will force its managers to make choices by prioritizing stakeholders' needs. In this section, we look at ethical ways in which business managers can begin to make those decisions; in the next tutorial, we will consider ethical decision making when stakeholder interests are in conflict.



REFLECT

Have you ever experienced a new business opening its doors in your neighborhood, or deciding to close down a local operation? If so, you probably witnessed the impact on your community, good or bad. Depending on your level of interest, you may have tried to influence the decision one way or the other. If so, did you feel you and your neighbors had a voice in this decision, as stakeholders affected by the decision?



TERM TO KNOW

Stakeholder Claim

Any stakeholder interest in an ethical decision made by an organization.

2. Stakeholder Theory

Stakeholder claims vary in their significance for an organization. According to Thomas Donaldson and Lee Preston, authors of “The Stakeholder Theory of the Corporation” (1995), there are three theoretical approaches to considering stakeholder claims:

Stakeholder Theory of the Corporation		
Approach	Description	Example
Descriptive Approach	Views company as composed of various stakeholder groups, each with its own interests. These interests impinge on the company to a greater or lesser degree; thus, the main point of the descriptive approach is to develop the most accurate model and act on it in ways that weigh and balance these interests as fairly as possible.	An airline’s expenses change very little between a full flight and a half-filled flight. For this reason, an airline might intentionally overbook flights so as cancellations come in, they are still assured a full plane of passengers. However, this might also mean canceling flights for ticketed passengers. Indeed, there have been cases (and viral videos) where customers who were already boarded were asked to deplane and wait for a later flight as the crew realized they have more ticketed passengers than seats. In this case, the inconvenience to passengers (one group of stakeholders), and the cost of their compensation or rebooking, is seen as necessary to maintain economic models that keep the company profitable. The loss of brand reputation, a long-term value, may be sacrificed for a short-term gain, like a full flight.
Instrumental Approach	Connects stakeholder management and financial outcomes, proposing that appropriate management of stakeholder interests is important and useful because it contributes to a positive bottom line.	A company with an instrumental view of stakeholder relations would consider the potential bad publicity of asking boarded passengers to deplane and the erosion of their customer base as passengers had bad experiences. They would still be considering the bottom line but taking a longer-term perspective. In this case, an airline would not overbook but might have cheaper ticket options for passengers willing to

		“stand by” in case there are available seats. In this way, they might still have full flights, though the overall revenue would be slightly lower, and would prevent bad publicity and customer relations.
Normative Approach	Considers stakeholders as ends in themselves rather than simply as means to achieve better financial results. In the normative approach, the interests of all stakeholders are of intrinsic value. That is, each group of stakeholders merits consideration for its own sake and not merely because of its ability to further the interests of some other group, such as the shareowners. This approach is the one that most appropriately represents ethical stakeholder theory, according to Donaldson and Preston, and it places an objective consideration of all stakeholders’ interests ahead of fiscal considerations alone.	A company with a normative view of stakeholder relations would consider providing a good customer experience is not incidental to their goal, but their entire purpose, and all decisions are made with this in mind. An airline committed to its passengers might have higher prices or strict cancellation policies in the belief the commitment to customers will be rewarded with customer loyalty.

We can also view these three approaches to stakeholders as occupying levels of increasing comprehensiveness. At the lowest level is the descriptive approach, which merely sets the stage for consideration of stakeholder claims and concerns. The instrumental aspect combines a consideration for profit along with other stakeholder concerns and attempts to balance these interests with particular attention to the way the company and its shareholders might be affected. The normative approach takes the most comprehensive view of the organization and its stakeholders, putting the focus squarely on stakeholders. Although Donaldson and Preston stress that the descriptive and instrumental approaches are integral to stakeholder theory, they contend that the fundamental basis of stakeholder theory is normative—that is, they are an ideal for how businesses should operate and not a description of how they currently operate.

Of course, these are theoretical approaches, and the extent to which any of them is implemented in a given company will vary. But unfortunately, the decision to disconnect from stakeholders is both real and expensive for a corporation. A survey of customers of 362 companies is demonstrative. While managers at companies believe their customers are “very satisfied,” only 8% of customers describe themselves as “very satisfied” (Meyer & Schwager, 2007).

Another study found significant links between levels of customer satisfaction and an organization’s performance, including rates of customer retention, overall revenue, and stock price (Williams & Naumann, 2011). Enlightened companies spend time and resources testing their stakeholders’ concerns and eliciting their feedback while there is time to incorporate it into management decisions.



THINK ABOUT IT

In 2017, a viral video showed an airline forcing customers who were ticketed and seated to deplane because the flight was overbooked, igniting debate over company policies and how they are implemented. Airlines overbook to ensure that despite any no-shows or cancellations, any given flight will have as many occupied seats as possible, because an unoccupied seat represents lost revenue. In terms

of valuing stakeholders, does this strategy make sense to you? Why or why not?



TERMS TO KNOW

Descriptive Approach

An understanding of stakeholders as they affect a business's operations; the importance of each stakeholder is based on their weight and influence with the company.

Instrumental Approach

A more balanced approach to stakeholders with consideration of long-term outcomes for a business.

Normative Approach

Considers stakeholders as ends in themselves rather than simply as means to achieve better financial results.

3. Stakeholder Categories

To better understand stakeholder theory and, ultimately, manage stakeholder claims and expectations, it may be helpful to take a closer look at categories of stakeholders. One way to categorize stakeholders is by defining their impact.

Category	Description	Example
Enabling Stakeholders	Regulatory stakeholders such as legislatures, government regulators, and boards of directors that permit the firm to function.	A paper company needs to pass regulatory checks from the Environmental Protection Agency in addition to local regulations.
Normative Stakeholders	Competitors and peers that influence the norms or informal rules of the industry.	In addition to meeting the regulations, the norms for minimizing environmental impact might be set higher than the legal minimum by competing paper companies.
Functional Stakeholders	Those who influence inputs, such as suppliers, employees, and unions, and those influencing outputs, such as customers, distributors, and retailers.	The paper company is reliant on regular supplies of tree pulp, the laborers who turn it into paper, and the union that represents them. They must have good relationships with customers who buy directly from the company as well as office supply companies that sell their paper.
Diffused Stakeholders	Other organizations such as nongovernmental organizations (NGOs), voters, and mass media organizations with less direct relationships but potential for meaningful impacts on firms.	The company will also be impacted by environmental organizations, reporters who cover the company's environmental impact (good or bad), and voters who respond to that news and might vote for tighter regulations if the company is not seen as compliant or concerned about the community.

As the table shows, enabling and functional stakeholders are those active in design, production, and marketing. They provide input for the products or services the organization distributes in the form of output. Companies should identify *all* the stakeholders and consider how they are linked to the organization. Although the diffused stakeholders will vary according to place and time, the enabling, functional, and normative linkage stakeholders are constant, because they are integral to the operation of the firm. Stakeholders, in turn, can exert some control and authority by serving on the board of directors, by exercising

their power as purchasers, by being elected to public office, or by joining employees' unions.

In many cases, if one stakeholder effects a change in the firm, other stakeholders will be affected. For example, if an NGO raises concerns about unequal pay of laborers on a tree plantation that provides raw materials to the paper company, and the story is covered in local media, the supplier may be forced to equalize pay, incurring additional expenses that are then passed onto the paper company, who in turn must raise prices to office supply stores, who raise prices for customers. The supplier has taken the ethical action, but ultimately the cost is likely passed through the supply chain to the end user—and the end user may choose a cheaper alternative, threatening the business with loss of market share. The supplier could also have absorbed the additional cost, diminishing the bottom line and reducing returns for shareholders, who may withdraw their investment from the company, again indicating there is a cost associated with the action. Even a decision of “do nothing” is an action with consequences. Harm to workers and working conditions, and the loss of reputation, sales, market share, or more can be the result, ultimately losing the shareholders value and returns, and it may be a question for some of which decision results in the lower level of loss of profit—again opening the debate on what constitutes profit. Although this model of stakeholder relationships is complex, it is useful in understanding the impact of each individual group on the organization as a whole.

IN CONTEXT

In the fall of 1982, Johnson & Johnson faced a public relations nightmare when customers in and around Chicago, Illinois, began dying—eventually, a total of seven people died—after taking over-the-counter, Tylenol-branded acetaminophen capsules. Analysis showed the presence of potassium cyanide, a fatal poison in no way connected with the production of the pill. Johnson & Johnson voluntarily removed all Tylenol products from the U.S. marketplace and offered to pay full retail price for any pills returned to the company. This represented about thirty million bottles of capsules worth more than \$100 million. Importantly, Johnson & Johnson decided on this wide-ranging action despite the fact that the cyanide poisoning was limited to Chicago and the surrounding area.

Because Tylenol was a flagship product bringing in significant revenue, this was an extreme action, but one based on the company's ethics, rooted in its corporate credo. Investigation showed that someone had tinkered with the bottles and injected cyanide into the product in stores. Although no one was ever apprehended, the entire drug industry responded, following Johnson & Johnson's lead, by introducing tamper-proof containers that warned consumers not to use the product if the packaging appeared in any way compromised.

The strong ethical stance taken by Johnson & Johnson executives resulted in immediate action that reassured the public. When the company eventually returned Tylenol to the market, it introduced it first to clinics, hospitals, and physicians' offices, promoting medicine's professional trust in the product. The strategy was successful. Before the poisonings, Tylenol had 37% of the market of over-the-counter analgesics. That plunged to 7% in fall 1982 but was resurrected to 30% by fall 1983.

This incident led to Johnson & Johnson writing one of the first corporate mission statements. In its corporate credo, Johnson & Johnson identifies multiple stakeholders: users of its products (output), employees (input), employees' families (diffused linkage), and the government (enabling linkage).

A challenge for business leaders is to assign appropriate weights to stakeholder claims on their companies in an ethical manner. Some stakeholders are only interested in how the company's actions affect them, such as a

customer wanting their money back on a defective item. Others want the company itself to change, such as environmental groups and regulators.

Furthermore, there are **direct claims**, where a stakeholder has a voice and opportunity to make its demands directly to an organization's decision makers, such as a union negotiating for better pay and benefits, or a community trying to lure a corporation to open operations there.

But there are also **indirect claims**, or “voiceless” stakeholders who cannot make their demands directly to organizational decision makers. This may be because the stakeholder is one individual who cannot get through the levels of company bureaucracy to someone with the power to make a decision.



REFLECT

If you have ever spent hours on the phone with customer service, you can understand how it feels to be “voiceless” because you are not able to reach anyone who can help, or because you can't even get through to an actual person. Some companies even count on individuals' growing frustrated and giving up on the claim.

An indirect stakeholder claim might also be one that affects people or entities unable to make a direct claim by their very nature. For example, it may be for future generations, when addressing concerns about air and water pollution. In this case, the stakeholders don't even exist yet, so are obviously voiceless. Indirect stakeholder claims also need to be made for entities with no voice at all, like animals and the environment. For example, University of Southern California law professor Christopher D. Stone introduced in 1972 what was then a radical concept for the law in the United States, that the environment itself is entitled to legal standing in the courts. If this were so, then the environment might also be eligible for certain protections under the law. Appearing at the dawn of increasing social awareness of ecological concerns, Stone's influential law review article, “Should Trees Have Standing?”, gave many environmentalists a new legal philosophy to harness in defense of the natural world.



BRAINSTORM

What other entities or populations are voiceless, and may depend on others to make claims on their behalf?



TERMS TO KNOW

Enabling Stakeholders

Regulatory stakeholders such as legislatures, government regulators, and boards of directors that permit the firm to function.

Normative Stakeholders

Competitors and peers that influence the norms or informal rules of the industry.

Functional Stakeholders

Those who influence inputs, such as suppliers, employees, and unions, and those influencing outputs, such as customers, distributors, and retailers.

Diffused Stakeholders

Other stakeholders with no immediate relationship to the company such as nongovernmental organizations (NGOs), voters, and mass media with less direct relationships but potential for meaningful impacts on firms.

Direct Claims

Stakeholder claims made by people or entities that have a voice and demands they can make directly to an organization's decision makers.

Indirect Claims

Stakeholder claims made by people or entities that do not have a voice or ability to make demands directly to an organization's decision makers.



SUMMARY

In this lesson, you learned how any stakeholder interest in an ethical decision made by an organization is considered a **stakeholder claim**. While the descriptive and instrumental approaches are integral to stakeholder theory, the fundamental basis of **stakeholder theory** is normative; that is, they define an ideal, goal, or objective for how businesses should operate and are not a description of how they currently operate. There are several **categories of stakeholders**, and it is a challenge for business leaders to assign appropriate weights to stakeholder claims on their companies in an ethical manner.

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Descriptive Approach

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